

The cash factor helped convince me to hold on to Ford, and it rose more than 40 percent after I made the decision not to sell.

I also knew (and you could have found out on [of the annual](#) report—still in the readable glossy section) that Ford's financial services group—Ford Credit, First Nationwide, U. S. Leasing, and others—earned \$1.66 per share on their own in 1987. For Ford Credit, which alone contributed \$1.33 per share, it was “its 13th consecutive year of earnings growth.”

Assigning a hypothetical p/e ratio of 10 to the earnings of Ford's financial businesses (finance companies commonly have p/e ratios of 10) I estimated the value of these subsidiaries to be 10 times the \$1.66, or \$16.60 per share.

So with Ford selling for \$38, you were getting the \$16.30 in net cash and another \$16.60 in the value of the finance companies, so the automobile business was costing you a grand total of \$5.10 per share. And this same automobile business was expected to earn \$7 a share. Was Ford a risky pick? At \$5.10 per share it was an absolute steal, in spite of the fact that the stock was up almost tenfold already since 1982.

Boeing is another cash-rich stock. In early 1987 it sold in the low \$40s, but with \$27 in cash, you were buying the company for \$15. I tuned in to Boeing with a small position in early 1988, then built it up to a major one—partly because of the cash and partly because Boeing had a record backlog of commercial orders yet to be filled.

Cash doesn't always make a difference, of course. More often than not, there isn't enough of it to worry about. Schlumberger has a lot of cash, but not an impressive amount per share. Bristol-Myers has \$1.6 billion in cash and only \$200 million in long-term debt, which produces an impressive ratio, but with 280 million shares outstanding, \$1.4 billion net cash (after subtracting debt) works out to \$5 per share. The \$5 doesn't count for much with the stock selling for over \$40. If the stock dropped to \$15, it would be a big deal.

Nevertheless, it's always advisable to check the cash position (and the value of related businesses) as part of your research. You never know when you'll stumble across a Ford.

As long as we're on the subject, what is Ford going to do with all its cash? As cash piles up in a company, speculation about what will become of it can tug at the stock price. Ford's been raising the dividend and buying back shares at a furious pace, but it has still amassed excess billions over and above that. Some investors wonder if Ford will blow the money on a you-know-what, but so far, Ford has been prudent in its acquisitions.

Already Ford owns a credit company and a savings-and-loan, and it controls Hertz Rent A Car through a partnership. It made a low bid for Hughes Aerospace but lost out. TRW might create sensible synergy: it's a major